22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of September 30, 2023 to be effective for the year ended December 31, 2023 is (-)22.2%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine-month periods ended September 30, 2023 and 2022 are calculated as follows:

(1) Ordinary shares

	September 30, 2023		September 30, 2022	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit for the period attributable to owners of the parent company	5,501,304	8,449,574	9,143,900	31,227,509
Profit for the period available for ordinary shares	4,834,858	7,425,965	8,036,177	27,444,504
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	810	1,244	1,346	4,597

(2) Preference shares

	September 30, 2023		September 30, 2022	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit for the period attributable to owners of the parent company	5,501,304	8,449,574	9,143,900	31,227,509
Profit for the period available for preference shares	666,446	1,023,609	1,107,723	3,783,005
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	810	1,244	1,346	4,597

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares, and basic earnings per share and diluted earnings per share are the same for the three and nine-month periods ended September 30, 2023 and 2022.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the nine-month periods ended September 30, 2023 and 2022 are as follows:

- Adjustments

(In millions of Korean won)	**2023**	**2022**
Adjustments:		
Income tax expense (income)	(1,660,366)	9,572,925
Financial income	(5,173,514)	(5,720,068)
Financial expenses	3,067,746	5,011,592
Post-employment benefits	827,860	1,040,241
Depreciation	26,469,065	27,108,961
Amortization	2,363,112	2,349,640
Bad debt expense	91,444	39,755
Dividend income	(131,278)	(373,528)
Share of profit of associates and joint ventures	(676,459)	(804,552)
Gain on disposal of property, plant and equipment	(83,050)	(135,940)
Loss on disposal of property, plant and equipment	70,037	34,798
Loss on valuation of inventories	4,919,360	3,336,120
Other	27,100	175,011
Total	30,111,057	41,634,955

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2023**	**2022**
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	(5,734,362)	1,957,951
Decrease (increase) in other receivables	990,596	(846,896)
Increase in prepaid expenses	(377,419)	(484,023)
Increase in inventories	(6,286,040)	(14,612,657)
Increase (decrease) in trade payables	1,380,348	(4,079,647)
Increase (decrease) in other payables	637,296	(1,966,307)
Increase (decrease) in advances received	58,239	(63,920)
Decrease in withholdings	(540,655)	(435,965)
Increase (decrease) in accrued expenses	(4,137,776)	287,421
Increase in provisions	1,778,811	69,566
Payment of post-employment benefits	(536,633)	(458,197)
Other	(165,738)	(1,206,401)
Total	(12,933,333)	(21,839,075)

For the nine-month periods ended September 30, 2023 and 2022, cash outflows from principal portion of lease liabilities (financial activities) amount to ₩ 814,987 million and ₩ 739,313 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 144,529 million and ₩ 95,694 million, respectively.